

PLJ 2021 Lahore (Note) 60
[Multan Bench Multan]

Present: MASUD ABID NAQVI AND MIRZA VIQAS RAUF, JJ.

MUHAMMAD ABBAS--Appellant

versus

NATIONAL BANK OF PAKISTAN--Respondent

R.F.A. No. 28 of 2015, heard on 7.3.2018.

Financial Institutions (Recovery of Finances) Ordinance, 2001 (XLVI of 2001)--

---Ss. 10(4) & 22--Suit for recovery--Decreed--Application for leave to defend--Dismissed--Finance facility-- Failure to pay back due amount--Denial of outstanding amount--Statement of account--Non-availability of document in rebuttal of statement of account--Duty of appellant--Mandatory provision of law--Challenge to-- Application for leave to defend suit has not been drafted in accordance with provisions of Section 10(4) of Financial Institutions (Recovery of Finances) Ordinance, 2001--Appellant failed to point out any discrepancy/contradiction in statement of account or to refer any receipt of payment which has not been shown or adjusted in statement of account--It was duty of appellant to furnish details of amount of finance availed from financial institution, amount paid with date of payment and amount disputed, if any, in application for leave to defend suit but defendant/appellant failed to comply with mandatory provision of law without furnishing sufficient cause for non-compliance of above said requirements of law--Appellant has miserably failed to substantiate his case by giving any valid grounds for setting aside impugned judgment and decree which was passed by banking judge by discussing and adjudicating upon all details of loan as well as payments by appellant--Appeal dismissed. [Para 4 & 5] A & B

2012 CLD 337 *ref.*

Mr. Javaid Ahmad Khan, Advocate for Appellant.

Mian Khurram Hashmi, Advocate for Respondent.

Date of Hearing: 7.3.2018.

JUDGMENT

Masud Abid Naqvi, J.--Brief facts of the this Regular First Appeal are that being a Banking Company, the respondent/bank filed a suit for recovery of Rs. 22,52,592 alongwith cost and cost of funds against the appellant with the averments that the defendant applied for and availed finance facility to the tune of Rs. 1.800 million *vide* sanction advice dated 2.9.2009 with markup @ 15.50% per annum and 20% margin on the value of Agri Pass Book/30% average sale price, repayable once a year in full with markup, for a period of three years. For securing the loan from respondent/bank, the defendant/appellant executed all the requisite documents. On the failure to pay back the due amount by the defendant/appellant, the respondent/bank filed the suit. The appellant appeared before the banking Court and filed PLA which was dismissed and the suit was decreed to the tune of Rs. 19,98,110/- jointly and severally with cost and cost of funds from 01.01.2013 till the date of realization *vide* judgment and decree dated 23.10.2014. Aggrieved by judgment & decree dated 23.10.2014, the appellant/defendant has filed instant appeal and challenged the same.

2. We have heard the arguments of the learned counsel for the parties and perused the available record as well as have minutely gone through the impugned judgment and decree.

3. Perusal of record reveals that on the request, the appellant availed finance facility to the tune of Rs. 1.800 million under Agricultural Finance Production for three years in accordance with the agreement on markup basis and the appellant executed certain documents in favour of respondent/bank. The appellant has admitted execution of these documents in PLA and has appended the same with the plaint which was filed by duly authorized person namely Muhammad Suleman, Vice President, General Manager Business, National Bank of

Pakistan Regional Office Sahiwal as general attorney of the plaintiff bank. In application for leave to appear and defend the suit, the appellant candidly acknowledged/admitted the disbursement of loan but claimed that nothing is outstanding, against him. The claim of respondent/plaintiff is duly supported by the documentary evidence including the statement of account and there is no rebuttal on the file. The statement of account clearly shows the deposits and withdrawals. The statement of account through which complete picture of the credit facility obtained by the appellant is visible would carry the legal authenticity. Since, no document is available on the record in rebuttal of the statement of account the statement of account carries presumption of truth by virtue of Section 4 of the Act of 1891 when the entries therein are not rebutted with cogent reasons.

4. We have also observed that the application for leave to defend the suit has not been drafted in accordance with the provisions of Section 10(4), of the Financial Institutions (Recovery of Finances) Ordinance, 2001. The appellant failed to point out any discrepancy/contradiction in the statement of account or to refer any receipt of payment which has not been shown or adjusted in the statement of account. It was the duty of the appellant to furnish the details of amount of finance availed from the financial institution, amount paid with the date of payment and the amount disputed, if any, in the application for leave to defend the suit but defendant/appellant failed to comply with the mandatory provision of law without furnishing sufficient cause for non-compliance of the above said requirements of the law. The Hon'ble Supreme Court of Pakistan in a judgment reported in *Apollo Textile Mills Ltd. and others v. Soneri Bank Ltd.* (2012 CLD 337) has discussed the effect of non-compliance with the provisions of Section 10(3)(4) and (5) of the Financial Institutions (Recovery of Finances) Ordinance, 2001 as under:

“19. In this case, the application for leave to defend the suit filed by the petitioners did not fulfill the requirements of Section 10(3), (4) and (5) of the Financial Institutions (Recovery of Finances) Ordinance XLVI of 2001. It was admittedly not in conformity with the said mandatory provisions. No cause or the reason for inability to comply with said requirements was shown. Instead it was expressly admitted by the learned Senior Advocate Supreme Court for the petitioners before the High Court and also before us that the petitioners failed to fulfill the mandates of the said provisions and did not plead the required Accounts. The petitioners/defendants thus attracted the prescribed legal Consequences of:--

- (i) rejection of their leave petition under Section 10(6);
- (ii) non-entitlement under Section 10(1) to defend the suit for not obtaining leave to defend the suit in terms provided for in Section 10;
- (iii) the allegations of fact in the plaint were deemed under Section 10(1) to have been admitted by them; and
- (iv) a judgment and decree against them and in favour of the plaintiff bank under Sections 10(1) and 11 *ibid.*

5. The bald allegations/claims of the appellant have been properly dealt with by the learned banking Court and even at this stage, the learned counsel for the appellant failed to show any discrepancy about the entries in the Statement of Account. Hence, the appellant has miserably failed to substantiate his case by giving any valid grounds for setting aside the impugned judgment and decree which was passed by the learned banking judge by discussing and adjudicating upon all the details of loan as well as the payments by the appellant.

6. In view of the foregoing detailed discussion, we do not find any merit in this appeal and the same is accordingly **dismissed**.

(Y.A.) Appeal dismissed